

Bank & Financial Institutions Act (BAFIA), 2073

Bank तथा Vittiya Sanstha Sambandhi Ain, 2073

1. Executive Summary

The Bank and Financial Institutions Act (BAFIA), 2073 is the primary legislative framework governing commercial banks and financial institutions in Nepal. Enacted to amend and consolidate laws relating to bank operations, BAFIA aims to promote public confidence in the banking system, protect depositors' interests, ensure healthy competition, and preserve national financial stability.

2. Core Classifications of BFIs (Section 37)

Under BAFIA, financial institutions in Nepal are classified into four main categories based on capital requirements and activities:

- **Class A:** Commercial Banks - e.g., Siddhartha Bank Limited. Minimum Paid-up Capital: NRs. 8 Billion.
- **Class B:** Development Banks. Minimum Capital: NRs. 2.5 Billion (National level).
- **Class C:** Finance Companies. Minimum Capital: NRs. 800 Million.
- **Class D:** Microfinance Financial Institutions. Minimum Capital: NRs. 100 Million.

3. Board of Directors & CEO Governance

Board Qualifications & Composition (Section 14-22):

- The Board of Directors must consist of not less than 5 and not more than 7 members.
- Directors are appointed by the General Meeting, and must include at least one Independent Director appointed from the NRB approved roster.
- Tenure of a director is 4 years, and they can be re-appointed.

CEO Appointment & Terms (Section 29):

- The Chief Executive Officer (CEO) is appointed by the Board of Directors for a term of 4 years, and can be re-appointed for one additional term.
- The maximum age limit for a BFI CEO is 65 years (they cannot remain in office after reaching 65).

4. Prohibited Activities for BFIs (Section 50)

Banks are strictly prohibited from engaging in the following activities to ensure depositor protection:

1. Purchasing their own shares or lending credit against the security of their own shares.
 2. Engaging in trading of goods or carrying out commercial business (except for credit recovery).
 3. Purchasing real estate or land, except for their own administrative offices or collateral recovery.
 4. Advancing loans to Directors, promoters, major shareholders, or their family members.
-